



BKM INDUSTRIES LIMITED

Code of Conduct to Regulate, Monitor and Report Trading by Designated Persons

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Applicable legal and regulatory framework

This Policy shall be read with the following principal requirements, each as amended, replaced, saved or brought into force from time to time:

- SEBI (Prohibition of Insider Trading) Regulations, 2015, as last amended on 12 March 2025
- SEBI Act, 1992; Securities Contracts (Regulation) Act, 1956; and SEBI Listing Regulations
- SEBI circulars, stock-exchange requirements and the Company's fair-disclosure code

STATUTORY OVERRIDE

If this Policy is inconsistent with a mandatory law, regulation, rule, circular, stock-exchange direction or judicial order, the mandatory requirement prevails. A more beneficial statutory employment benefit also prevails.

2025 PIT control specifications

UPSI includes the categories prescribed by regulation 2(1)(n), including financial results, dividends, capital changes, mergers/restructuring, and material events under the Listing Regulations. The current expanded category must also be captured, including material contracts outside the ordinary course, KMP changes, ratings, fundraising, management/control agreements, fraud/default, resolution or one-time settlement, insolvency, forensic audit, regulatory action, litigation outcome, non-routine third-party guarantees and key licences/approvals.

- The SDD must capture the nature of UPSI, sharer and recipient names, prescribed identifiers, and time stamp; it must be internally controlled, non-tamperable, auditable and retained for at least eight years after completion of the relevant transaction, or longer during proceedings.
- The trading window closes from the end of every quarter until 48 hours after financial results become generally available and whenever designated persons can reasonably be expected to possess Company-originated UPSI.
- Pre-clearance is required where the aggregate proposed trade value exceeds ₹10 lakh in a calendar quarter, or another Board-approved threshold. Approval is valid for seven trading days unless a shorter period is stated.
- A valid trading plan begins only after the statutory 120-calendar-day cool-off, cannot overlap another plan, contains the prescribed trade parameters and is disclosed through the stock exchange. It must be implemented except for the limited legal exceptions.
- Contra trades are prohibited within six months unless a lawful written relaxation applies. Disgorged profit shall be remitted to the Investor Protection and Education Fund administered by SEBI as required.

- Designated Persons shall disclose immediate relatives and persons with whom they have a material financial relationship annually and on change, together with the identifiers and one-time information prescribed by law.
- Trade disclosures apply at the statutory thresholds, including the ₹10 lakh aggregate value test under regulation 7, as applicable. Violations and actual/suspected leakage of UPSI must be escalated and reported in the prescribed form and timeframe.

Policy provisions

Purpose And Regulatory Framework

The Company is committed to maintaining highest standards of ethical conduct, transparency, fairness, and investor confidence in all matters relating to trading in securities. This Prevention of Insider Trading Code (“Code”) has been adopted pursuant to Regulation 9 read with Schedule B of the Security and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015, as amended from time to time (“SEBI PIT Regulations”), and shall be read in conjunction with all applicable provisions of Securities and Exchange Board of India Act, 1992, the Companies Act, 2013, and other applicable laws.

The purpose of this code is:

- Prevent Insider Trading and Unlawful communication of Unpublished Price Sensitive Information (“UPSI”);
- Establish procedures for handling and safeguarding UPSI;
- Regulate, monitor, and report trading by Designated Persons and their immediate relatives;
- Promote a culture of compliance, integrity, and accountability.

Every Director, Key Managerial Personnel (“KMP”), employee, Designated Person, Consultant, advisor, contractual employee, and connected person associated with the company is expected to comply with both the letter and the spirit of the code.

Scope And Applicability

This code shall apply to:

- Directors and KMPs of the Company;
- Employees of the company and its subsidiaries, associates, and Joint ventures, where applicable;
- Designates Persons identifies by the Board of Directors and Compliance Officer, Immediate Relative of the Designated Persons;
- Promoters and Promoter group members, where applicable;
- Auditors, consultant, legal advisors, bankers, intermediaries, fiduciaries, and any connected person with access to UPSI;
- Any person who is in possession or has access to UPSI relating to the company.

This code shall apply to dealings in securities of the company that are listed or proposed to be listed on a recognized stock exchange.

Policy Statement

No insider shall:

- Trade in Company's securities while in possession of UPSI;

- Communicate, provide, allow access to, or disclose UPSI except for legitimate purposes, performance of duties, or discharge of legal obligations.
- Recommend, induce, advise, counsel, or encourage any person to trade in securities while in possession of UPSI;
- Procure UPSI from any person except in furtherance of legitimate purposes, performance of duties, or discharge of legal obligations;
- Use UPSI directly or indirectly for personal gain or for the purpose of benefit of any other person.

The Company follows a strict “need-to-know” principle and expects all covered persons to preserve the confidentiality of UPSI.

Definitions

Unless otherwise defines herein, words and expressions used in this code shall have the meanings assigned for them under the SEBI PIT Regulations.

- Unpublished Price Sensitive Information (UPSI)

UPSI means any information relating to company or its securities that is not generally available and which upon becoming generally available, is likely to materially affect the price of the securities.

UPSI shall ordinarily include information relating to:

- Financial results;
- Dividends;
- Change in capital structure;
- Mergers, demergers, acquisitions, dealings, disposals, amalgamations, restructuring and expansion of business;
- Changes in Key Managerial Personnel;
- Material events required to be disclosed under applicable securities laws;
- Significant litigation, regulatory actions, or business developments;
- Any other information determined to be price sensitive under applicable law.
- Insider

Any person who is:

- A Connected Person; or
- In possession of or having access to UPSI.
- Connected Person

A person who is or has been associated with the company, directly or indirectly, in any capacity that allows access to UPSI, including by reason of frequent communication with officers of the Company, contractual, fiduciary, employment, professional, or business relationship.

- Designated Person

Such person identified by the Board of Directors or Compliance Officer on the basis of their role, function, seniority, professional designation, access to UPSI, or ability to influence key business decisions.

- Immediate Relative

Means a spouse of a person, and includes parent, sibling, and child of such person or of the spouse, any of whom is either financially dependent on such person or consults such person in taking decisions relating to trading in securities.

- Trading

Includes subscribing, buying, selling, dealing, pledging, revoking a pledge, exercising stock options, agreeing to subscribe, buy, sell, deal in, or trade in securities.

Preservation Of Upsi And Confidential Obligations

All UPSI shall be maintained in strict confidence.

Every person having UPSI shall:

- Maintain confidentiality of UPSI at all times;
- Share UPSI strictly on a need-to-know basis;
- Ensure that UPSI is not discussed in public placed or through unsecured communication channels;
- Use only approved systems and communication platforms for sharing sensitive information;
- Secure physical and electronic records against unauthorized access;
- Comply with all confidentiality obligations imposed under contracts, policies, and applicable laws.

The Company may establish information barrier procedures, restricted-access protocols, confidentiality undertakings, and other safeguards necessary to prevent misuse of UPSI.

Legitimate Purpose

UPSI may be shared only for legitimate purposes, performance of duties, or discharge of legal obligations.

Legitimate purposes may include:

- Business operations and management decision-making;
- Statutory, legal, regulatory, secretarial, accounting, audit, or compliance requirements;
- Due diligence exercises;
- Fundraising activities;
- Mergers, acquisitions, restructuring, or strategic transactions;
- Any purpose approved by competent authority and permitted under applicable law.

Persons receiving UPSI shall be informed of the confidential nature of such information and their obligations under applicable insider trading laws.

Structured Digital Database

The Company shall maintain a Structured Digital Database (“SDD”) containing the names of persons or entities with whom UPSI is shared, together with such identifiers as may be prescribed under applicable law.

The SDD shall:

- Be maintained with adequate internal controls and audit trails;
- Be non-tamperable in nature;
- Preserve records in accordance with regulatory requirements;
- Be administered under the supervision of compliance officer.

Trading Window

The Company shall maintain a trading window mechanism for monitoring trading activities of Designated Persons and their Immediate Relatives.

Trading Window Closure

The Trading Window shall be closed when Designated Persons can reasonably be expected to possess UPSI, including:

- From the end of every financial quarter until forty-eight (48) hours after public disclosure of financial results;
- Prior to significant corporate announcement;
- During consideration of mergers, acquisitions, restructuring, fundraising, or other material transactions;
- During such period as may be determined by the Compliance Officer.

Trading Window Reopening

The trading window shall reopen forty-eight (48) hours after UPSI becomes generally available, unless otherwise determined by the applicable law.

No Designated Person shall trade during a closed Trading Window except in accordance with the SEBI PIT Regulations.

Pre-Clearance Of Trade

Designated Persons and their Immediate Relatives shall obtain prior written approval from the Compliance Officer before undertaking trades exceeding the threshold prescribed by the Board or Compliance Officer from time to time.

Every application for pre-clearance shall contain:

- Details of the proposed transaction;
- An Undertaking that the applicant is not in possession of UPSI;
- Such declarations and confirmations as may be prescribed.

Trades approved through pre-clearance shall be executed within the period specified by the Compliance Officer, failing which fresh approval shall be required.

Trading Plans

An Insider may formulate a Trading Plan and present the same to the Compliance Officer for approval in accordance with Regulation 5 of the SEBI PIT Regulations.

Upon approval, the Trading Plan shall:

- Be disclosed as required under applicable law;
- Be irrevocable during its tenure, except as permitted by law;
- Be implemented in accordance with the conditions prescribed under the SEBI PIT Regulations.

Trade executed pursuant to an approved Trading Plan shall not be subject to restrictions applicable to trading while in possession of UPSI, to the extent permitted under law.

Contra Trade Restrictions

Designated Persons shall not enter into an opposite transaction involving the Company's securities within six months of a prior transaction unless relaxation is granted by the Compliance Officer in accordance with the SEBI PIT Regulations.

Any profits arising from unauthorized contra trade may be disgorged and remitted for such purposes as may be determined by the Board or applicable regulations.

Disclosures And Reporting Regulations

All persons covered under this code shall make disclosures as requested under SEBI PIT Regulations and the Company's internal procedures.

Such disclosures may include:

- Initial disclosures;
- Contractual disclosures;
- Disclosures upon becoming a Designated Person;
- Periodic disclosures as prescribed by the company;
- Any additional disclosure required by the Compliance Officer of applicable regulations.

The Compliance Officer shall maintain records of all disclosures and reports submitted under this code.

Responsibilities Of Designated Persons

Every Designated Person shall:

- Comply with this code and applicable laws;
- Promptly disclose information required under this law;
- Seek clarification where uncertainty exists;
- Cooperate with investigations and audits;
- Report suspected violations
- Participate in mandatory compliance awareness and training programs.

Compliance with insider trading laws is a continuing obligations and forms integral part of the Company's governance framework.

Role Of The Compliance Officer

The Compliance Officer shall:

- Administer and implement this code;
- Monitor adherence to insider trading regulations;
- Maintain records, disclosures, and the Structured Digital Database;
- Approve or reject pre-clearance applications and Trading plans;
- Monitor Trading Window restrictions;
- Conduct awareness and compliance initiatives;
- Report material violations to senior management, the Board of Directors, or relevant committee, as appropriate.

Prohibited Conduct

The following conduct is strictly prohibited:

- Trading while in possession of UPSI;
- Unauthorized disclosure or communication of UPSI;

- Procuring UPSI without legitimate purpose;
- Tipping or recommending trades to another person;
- Circumventing insider trading restrictions through relatives, trusts, entities, nominees, intermediaries, or other arrangements;
- Tampering with records maintained under this code.

Reporting Of Violation And Whistleblower Protection

Any employees, stakeholder, or associated person who becomes aware of an actual or suspected violation of this code shall promptly report the matter to:

- The Compliance Officer;
- The Audit Committee;
- The Whistleblower or Vigil Mechanism; or
- Any other reporting channel approved by the company.

Reports made in good faith shall be treated confidentially and shall not attract retaliation, victimization, or adverse employment consequences.

Consequences Of Non-Compliance

Any violation of this code shall constitute misconduct and may result in disciplinary action, including:

- Written warning or reprimand;
- Wage recovery or clawback, where permissible;
- Suspension of trading privileges;
- Suspension of duties;
- Termination of employment or engagement.

Violations may also result in civil, criminal, regulatory, or administrative proceedings under applicable securities laws, including actions initiated by regulatory authorities.

The company may report violation to the appropriate regulatory authorities where required by law.

Training And Awareness

The company shall conduct periodic awareness programs, compliance certifications, and training sessions to ensure understanding of insider trading laws and obligations under this code.

All Covered Persons shall actively participate in such initiatives and acknowledge compliance whenever required.

Review And Amendment

This Code shall be reviewed periodically by the Board of Directors or such committee as may be authorized by the Board.

The Company reserves the right to amend, modify, or replace any provision of this Code to ensure continued compliance with applicable laws, regulatory requirements, and governance best practices.

Any amendment shall become effective upon approval and communication by the Company unless otherwise specified.

Governance, monitoring and records

- Policy owner: Compliance Officer. The owner shall maintain procedures, registers, evidence and training appropriate to the control risks.
- Functional heads must escalate suspected breaches promptly and cooperate with reviews or investigations.
- Records must be accurate, access-controlled and retained for the longer of the statutory period, an applicable legal hold and the Company's Preservation Policy.
- A person who raises a concern in good faith is protected from retaliation, subject to the Company's whistleblower framework.

Review, approval and controlled disclosure

This Policy shall be reviewed annually and earlier on a material legal, regulatory, operational or organisational change. Amendments require approval by the Board of Directors unless a law permits a delegated, non-substantive update.

This is an internal controlled document. External disclosure is permitted only where required by law or specifically authorised through the Company's disclosure controls.